Brazil Macro Monthly

Inflation risks remain, despite the recent relief

- The Fed´s easing cycle began with a larger cut than we expected. Still, we see a slower pace ahead and a terminal rate of 3.5%. In China, aggressive stimulus should boost growth, although structural challenges persist. That, along with geopolitical tensions, may pressure commodity prices.
- In Brazil, income and credit growth are keeping demand strong. We continue to expect GDP to increase by 3.1% in 2024. Economic growth should be close to potential in 2025 (1.8%), in line with tighter monetary conditions and the end of spare capacity in production factors.
- We assign a high probability that the government will meet the lower limit of the fiscal target this year. For 2025, however, we continue to see a scenario of major challenges, given the need to raise uncertain revenues. We do not see debt-to-GDP stabilizing in the foreseeable future.
- The FX remains volatile, with forces in both directions. Thus, we keep our projection of 5.40 reais per dollar for 2024 and 2025.
- The relief in September's inflation data is likely to be temporary, given tighter spare capacity, adverse weather conditions and elevated inflation expectations. We raised our 2024 IPCA projection to 4.6% from 4.4% due to energy tariffs. For 2025 IPCA, we forecast 4.1% (from 4.0%), reflecting higher pressures on protein prices.
- We keep our terminal Selic rate forecast at 12.00%, with the hiking pace increasing to 50 bps in November. Risks seem to be tilted to the upside (higher Selic rate) if the narrower spare capacity in the economy effectively pushes inflation up. A possible FX appreciation, in its turn, would be a positive risk.

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XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	3.1	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	6.5	7.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	4.6	4.1
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	11.75	12.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.6	-0.9
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.3	-0.6
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.7
General government gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	78.5	82.4
Public sector net debt (% do PIB)	54.7	61.4	55.1	56.1	60.91	63.3	65.7
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	72.0	74.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	342.0	357.0
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	270.0	279.0
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-52.0	-59.0
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-2.4	-2.5
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	74.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.2	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,175	2,318
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,630	12,352

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

Foreword – Where there is a will, there is a way

The government is on track to achieving its primary fiscal balance target this year (the lower bound of the target range, actually). In January, very few analysts believed this was possible. On top of that, Moody's upgraded the Brazilian sovereign rating.

Still, "fiscal risks" continues to be mentioned as a factor behind the underperformance of Brazilian assets this year. One reason is that the target will be met, partially due to one-off revenue (some 60 billion reais), meaning that the fiscal problem was merely postponed to next year.

The other reason is that measures to increase expenditures beyond the legal limits have arisen, such as a social program beyond the budget ("Gás para todos"), transference from public funds to finance BNDES lending, expenditures not considered in the legal limit to address the effects of September fires. Those measures do not represent a relevant amount of money, but they reveal a fiscal and quasi-fiscal expansionary bias that the fiscal framework established last year is not sufficient to contain. Where there is a will, there is a way.

At the end of the day, it is becoming clear that, despite being important, the fiscal rules will probably not be sufficient to stabilize the debt-to-GDP ratio.

Meanwhile, economic activity remains heated, fueled by fiscal expansion, credit growth (from public banks and heated fixed-income capital market), and the export of commodities. The indicators of idleness, such as the unemployment rate and manufacturing capacity utilization, suggest virtually no spare capacity in the economy. It is a risk for future inflation, as the central bank has pointed out.

Against this background, we keep our view that the Copom will hike the Selic rate until reaching 12.00%. The risk is tilted to the upside, unless the BRL - pushed by higher interest rate differential amid a more dovish Fed, by the recovery of China and by higher commodity prices - strengthens significantly.

Global backdrop – Fed to moderate the easing pace ahead

Francisco Nobre

Aggressive start by the Fed, uncertain pace ahead. The Fed kicked off its easing cycle with a larger cut than we expected (50 bps vs 25 bps). Although Chair Powell struggled to justify the decision with data, he managed to avoid triggering market panic over a recession. The magnitude of upcoming rate cuts is uncertain, as the Summary of Economic Projections suggests that the board is very divided on the appropriate pace ahead.

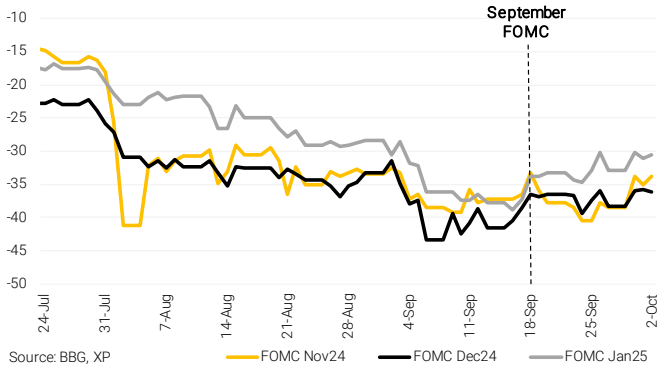
For the November meeting, we continue to see a 25-bps cut, although it is a very close call. Powell has recently indicated that downside risks to activity have decreased, suggesting 25-bps cuts in the next two meetings if data evolves as expected. However, we think the bar for another 50 bp cut is relatively low. If inflation stays low and the labor market softens further, another 50-bps cut remains possible. The upcoming employment reports will be crucial.

Soft-landing remains our base case, and a 50-bp cut in November, if it happens, should be the last of this magnitude. We reiterate that we do not see the US economy at significant risk of a major recession, and the 50-bps easing pace increases the risk of undershooting the neutral rate given the lag of monetary policy. Hence, we see smaller rate cuts ahead unless downside risks to economic activity and the labor market increase significantly. **We see the Fed funds rate reaching 4.5% by yearend, and the Fed cutting 25 bps every other meeting in 2025, reaching 3.5% by 4Q25.**

We see the Fed´s easing cycle as benign for Latin American economies. Lower rates in the US under a soft-landing scenario should benefit asset prices in the region, given higher interest rate differentials. Therefore, we expect to see some reversion of the recent stress in Latin American currencies. Under an alternative scenario in which the US enters a recession, a more aggressive easing cycle from the Fed would not be enough to compensate for the negative impact of global risk aversion. Despite not being our base case, it is a risk for the region.

It is also positive for global rates. Regarding monetary policy, we believe that lower rates in the US should help central banks in their adjustment process. The ECB started by lowering Eurozone rates by 25 bps in every two meetings, although consecutive cuts are becoming more likely amid softer inflation figures. In the UK, the BoE is also expected to reduce

Markets divided between a 25 bps and 50 bps rate cut by the Fed in the upcoming meetings
Change in the Fed funds rate priced in by swap markets (bps)



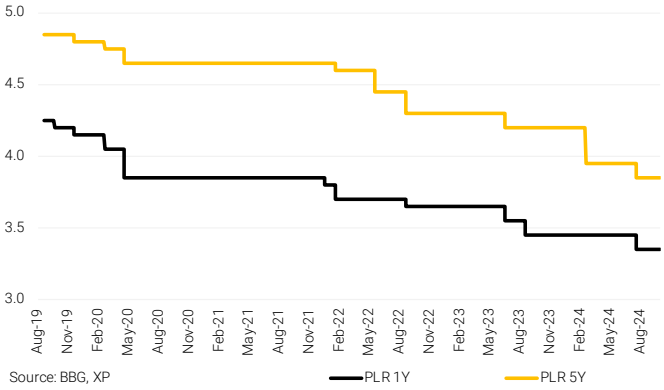
Source: BBG, XP

the level of monetary policy restrictiveness. Finally, in Latin America, except for Brazil, which embarked on a mini-hiking cycle, central banks are expected to lower rates in their upcoming policy meetings.

The most aggressive stimulus in China since the pandemic should boost growth, although structural challenges remain. China continues to struggle to spur an economic turnaround amid mounting challenges such as disinflation risks, sluggish exports, and the housing market crisis. Against this backdrop, the PBoC announced a series of stimuli to lower borrowing costs and increase demand in the soaring property sector, as well as a CNY 500 billion swap program to finance stock purchases. Meanwhile, fiscal stimulus remains significant. These measures should allow China to achieve its 5% growth target for this year, although they are unlikely to increase productivity and potential output, in our view. Underlying measures of the economy remain sluggish amid the weak labor market and soaring property sector. Hence, we still see growth below 5% in the upcoming years.

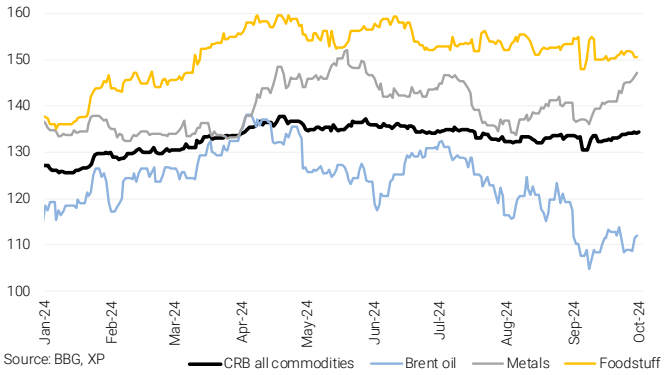
That said, risks on asset prices should be monitored. A short-term increase in aggregate demand in China may still affect asset prices, especially commodities. Metals were the first to respond to the Chinese government´s action (graph). Also, geopolitical tensions represent a material risk for fuel prices. On the one hand, higher commodity prices tend to benefit their net exports, such as Brazil. However, higher production costs around the globe could raise challenges to the final stage of the disinflation process in many countries.

PBoC cut rates to new record lows in China
Annual policy interest rates (%)



Source: BBG, XP

Metals were the first to respond to the Chinese government´s action
Commodity indices (Jan-2020=100)



Source: BBG, XP

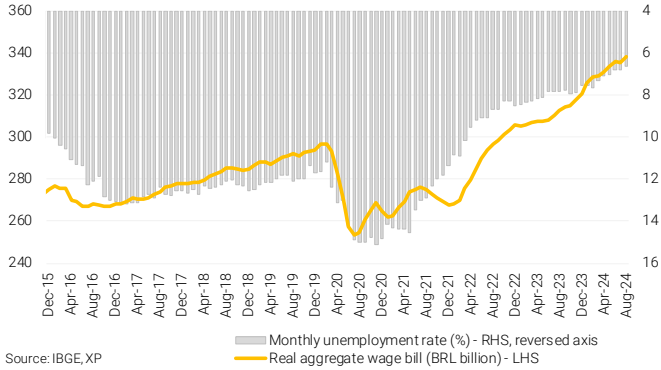
BRAZIL – Inflation risks remain, despite the recent relief

Activity – Rising income and credit concessions sustain heated demand

Rodolfo Margato

Unemployment rate at all-time lows and real wages rising sharply. The unemployment rate fell to 6.6% in August (monthly and seasonally adjusted estimates), to its lowest levels in the in the data series that began in 2012. Employment continues to show widespread growth across sectors and types of occupation, and real wages have regained steam. The real household disposable income is expected to grow more than 7% in 2024. In short, several gauges corroborate the tight labor market scenario.

Tight labor market, with the unemployment rate at historically low levels and rising real wages
Seasonally adjusted data



Source: IBGE, XP

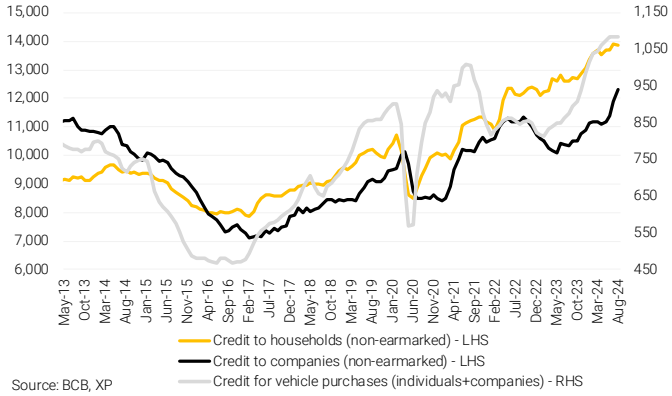
Credit and capital markets are also showing better-than-expected dynamics. We anticipate a real increase of 6.5% for the total credit outstanding this year, boosted by both the individual and corporate segments. Furthermore, capital market transactions – particularly corporate debt issuances – have beaten records, increasing the availability of resources to companies.

We expect GDP to rise by 3.1% in 2024. Domestic activity grew above expectations in the first half of the year, with positive signs in virtually all GDP components (mainly those most sensitive to the economic cycle). We believe there will be a gradual slowdown in this semester. Our projection for 3Q24 GDP growth stands at 0.6% QoQ (3.8% YoY). In our view, the risks are bullish in the short term.

A combination of factors explains the positive surprises with GDP growth this year. In our opinion, the stronger GDP performance throughout 2024 – we expected an increase of around 2% at the beginning of the year – was due to factors such as: (i) a sharper rise in fiscal expenditures, especially social security benefits and social protection transfers; (ii) greater availability of credit despite the contractionary monetary policy (e.g., corporate debt issuances and government emergency programs); (iii) a smaller-than-anticipated economic impact from the floods in Rio Grande do Sul; (iv) effects of online betting platforms on personal spending; and (v) productivity gains in specific sectors, such as information and communication services, financial intermediation services, and utilities.

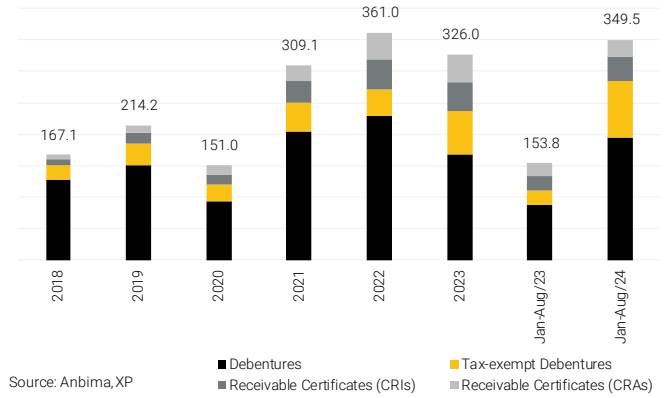
Economic growth close to potential in 2025. The key factors behind our scenario of economic slowdown in 2025 are: (i) the additional tightening of monetary conditions, despite the opposing effects of quasi-fiscal measures and corporate debt operations; (ii) the lower fiscal impulse; (iii) the end of spare capacity in production factors; and (iv) low commodity prices. **We forecast that GDP will rise by 1.8%.** In turn, the positive statistical carryover effect from the 2024 GDP (0.6% as per our estimates), the labor market's soundness, and the grain output expansion should prevent a stronger deceleration in domestic activity next year.

Credit concessions have accelerated recently
Real daily average, seasonally adjusted 3MMA (BRL million)



Source: BCB, XP

Capital markets transactions continue to break records
Corporate debt issuances (BRL Bn)



Source: Anbima, XP

Public finance – Primary balance on target does not guarantee debt sustainability

Tiago Sbardelotto

Fiscal balance has been below expectations this year. The 9.5% increase in tax collection year-to-date up to August has

not been enough to meet the growth in expenditure, leading the central government to accumulate a deficit of approximately BRL 101.6 billion for the year. Even excluding the almost BRL 13.0 billion from exceptions to the primary balance target, the accumulated deficit is of BRL 88.6 billion for the year, well below the lower limit of the primary balance target (a deficit of BRL 28.8 billion).

However, we assign a high probability to the primary deficit remaining within the target range. We believe that the government will fundamentally depend on extraordinary revenue measures related to compensation for the payroll tax exemption and dividends from state-owned companies. Our total primary deficit projection is BRL 66.1 billion (0.6% of GDP), slightly higher than the previous report (BRL 63.1 billion or 0.5% of GDP). Considering the exceptions to the primary balance target, which we estimate at BRL 33.9 billion, the deficit should reach BRL 32.2 billion (0.3% of GDP), only BRL 3.4 billion below the lower limit of the primary balance target (BRL 28.8 billion). Therefore, we still see the need for a small additional spending cut.

Although likely to be met, the target loses relevance as an indicator of government fiscal effort. In our opinion, this is due to three factors: i) the bimonthly report reveals a focus on the lower range of the band, reducing the need to adjust expenses; ii) the use of exceptions and statistics parallel to the primary balance target, such as the exclusion of expenses with aid to the RS, among others, and the inclusion in revenues of the appropriation of funds forgotten in third-party accounts; and iii) discussion about the use of public funds to carry out parafiscal policy, outside the fiscal framework, but with direct impacts on the public debt..

The 2025 budget still requires adjustments. Next year's budget proposal foresees additional revenue of BRL 168.3 billion from new revenue measures, of which BRL 121.5 billion refers to extraordinary revenues - including CARF and tax transactions - whose degree of uncertainty is very high, and which performed well below expectations this year. The remaining BRL 46.7 billion are conditional revenues - increases in the income tax rate on interest on own capital and on the profit tax (CSLL, in Portuguese), which require legislative approval and are therefore likely to face strong political resistance. We would draw attention to the fact that the payroll tax exemption, whose resources were included in the budget proposal, was recently extended until 2027 (with a gradual reduction over time). The government will, therefore, have to come up with additional revenue measures to offset the BRL 25.8 billion related to this measure.

BRL Bn

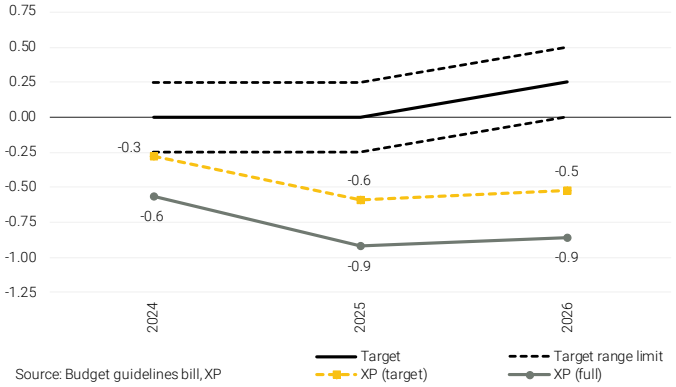
Measures	4th Bimonthly report	XP	Collected by August (YTD)
Change on ICMS subsides	24.3	12.1	NI
Online bets taxation	2.8	2.0	-
E-commerce taxation	-	1.0	-
Exclusive funds taxation	15.5	15.5	15.0
Taxation of investments abroad	5.3	7.3	7.3
Change of interest on equity (IoE)	-	-	-
Credit recovery at board of tax appeals (CARF)	0.9	1.0	-
Tax transactions	15.2	15.0	4.0
Review of railway concession contracts	7.3	6.0	-
Payroll tax exemption	-15.8	-15.8	-10.5
Social security tax relief for municipalities	-10.5	-10.5	-7.0
Change in events sector tax exemption (PERSE)	-	-	-
Limiting tax compensations	24.0	24.0	16.0
SOEs extraordinary dividends	27.3	27.0	6.0
Update of assets for income tax purposes	-	3.3	-
Special foreign exchange and tax regularization	2.0	3.2	-
Renegotiating fines imposed by regulatory agencies	4.0	2.7	-
Appropriating judicial and extrajudicial deposits	14.3	9.8	-
Unredeemed funds in deposit accounts	-	6.5	-
Total	**116.6**	**110.1**	**30.7**

NI: No information

Source: Bimontly report, XP

The primary balance should be below the target

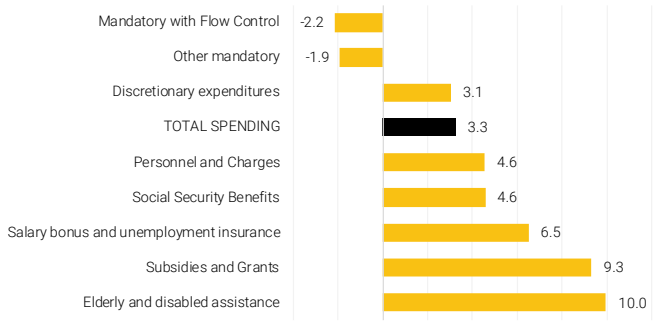
Primary balance (% of GDP)



Source: Budget guidelines bill, XP

Expenditure growth should continue to put pressure on the 2025 fiscal balance

Real year-on-year change in expenditure (%)



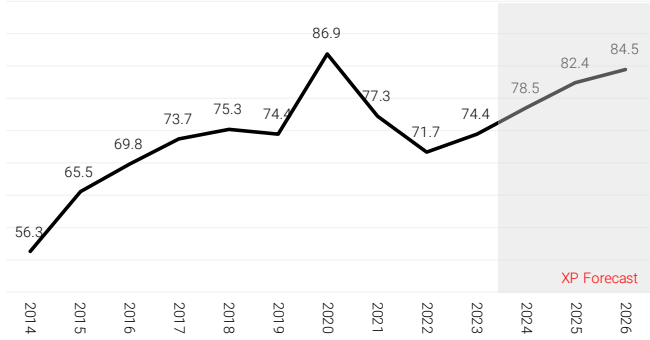
Source: National Treasury, XP

We estimate a deficit of BRL 73.6 billion (0.6% of GDP), excluding court-ordered debts paid over the constitutional sub-limit. Our assumptions do not consider the approval of the conditional measures or the CARF revenue. For the full primary balance indicator (with court-ordered debts), we estimate a deficit of BRL 114.4 billion (0.9% of GDP).

States show recovery, but municipalities are a concern. The August result confirms the trend seen since the beginning of the year of recovery in state finances, driven on the one hand by the increase in ICMS rates, and on the other by a deterioration in municipal accounts, which should pose a challenge for the new mayors elected this year. We estimate a deficit of BRL 52.0 bn in 2024 (0.4% of GDP) and BRL 87.1 bn in 2025 (0.7% of GDP) for the consolidated public sector.

Meeting the target does not guarantee the stabilization of the public debt. As we pointed out earlier, off-target spending will significantly increase the full primary deficit. In addition, the costs of nominal interest, currency swaps, and financial outflows to public banks are likely to have a negative impact on the public debt. As a result, we estimate that the general government gross debt-to-GDP ratio will reach 78.5% in 2024 (77.4% previously) and 82.4% in 2025 (81.4% previously). Meanwhile, government net debt is expected to grow more moderately thanks to currency depreciation. We expect the NPSD/GDP ratio to be 63.5% this year and 66.0% next year.

Debt is expected to grow 4pp this year, even if the primary result target is met
General government gross debt (% of GDP)



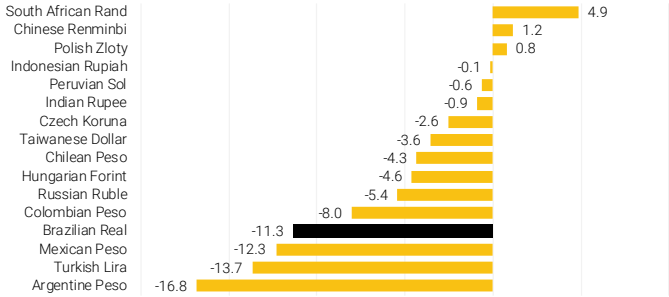
Source: BCB, XP

External Accounts – Stronger exchange rate, but risks remain high

Rodolfo Margato

The exchange rate remains volatile, with drivers pulling in both directions. Since our last monthly report, the exchange rate has appreciated from around 5.70 reais per dollar in early September to about 5.45 in early October. However, volatility remains high. On the downside, new economic stimulus from China has supported commodity prices, especially metals (see 'Global Background' section), along with the widening interest rate differential with the U.S. On the upside, the escalation of the Middle East conflict, particularly with Iran's increased involvement, has heightened global risk aversion, which has negatively impacted emerging market currencies. Additionally, uncertainties surrounding fiscal policy (see 'Public Accounts' section) have increased domestic risks.

The BRL is still among the worst-performing emerging currencies, despite the recent appreciation
EM currencies spot returns YTD (%)*. Negative = depreciation.



Source: BBG, XP
* Data until 03/10

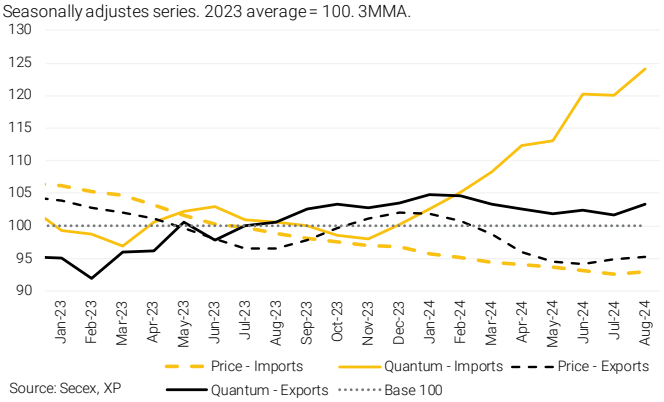
We've maintained our projection of 5.40 reais per dollar by the end of 2024, which is higher than the fundamentals suggest. Our models based on economic fundamentals point to the exchange rate between 5.00 and 5.20 reais per dollar in the

short term. However, part of the risk premium embedded in Brazilian assets appears to be permanent. As a result, we continue to forecast 5.40 reais per dollar for the end of this year and 2025, acknowledging the high degree of uncertainty ahead.

Declining export prices and rising import volumes worsen the merchandise trade balance. The trade balance recorded a surplus of USD 48.4 billion from January to August, USD 10.2 billion lower than during the same period in 2023. This decline is mainly driven by falling export prices — reflecting lower international commodity prices — and a significant 15.6% increase in import volumes so far this year. This growth has been broad-based across economic categories (capital goods, intermediate goods, and consumer goods), largely reflecting strong domestic demand (see 'Economic Activity' section). We expect this trend to continue in the coming months, prompting us to revise our 2024 trade balance forecast from USD 82.0 billion to USD 72.0 billion.

Sharp rise in imports reflects an acceleration in domestic demand in 2024

Seasonally adjustes series. 2023 average = 100. 3MMA.

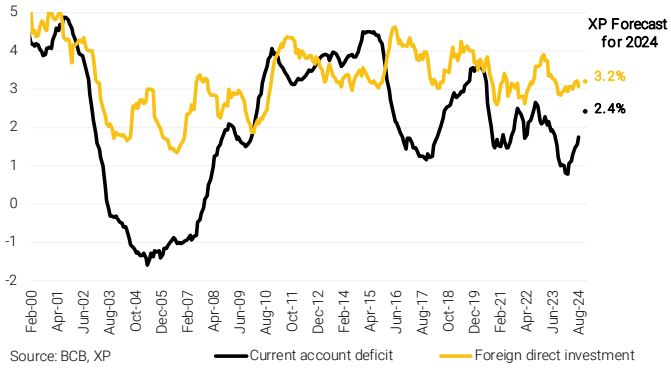


Source: Secex, XP

Worsening trade balance increases the current account deficit. The weaker trade balance, combined with a larger deficit in the services account, explains the deterioration of the current account this year. Notably, the deficits in 'Intellectual Property Services' and 'Telecommunications, Computing, and Information Services' have continued to grow and are less sensitive to the economic cycle. On the positive side, despite the worsening current account, net inflows of Foreign Direct Investment (FDI) have strengthened in recent months, with increases in both equity participation and intercompany operations.

The balance of payments remains healthy, although the current account deficit widened

(% of GDP)



Source: BCB, XP

We now project a current account deficit of USD 52 billion in 2024. Our forecast for this year's current account balance has been revised from -USD 42.0 billion (-1.9% of GDP) to -USD 52.0 billion (-2.4% of GDP). Meanwhile, our FDI forecast remains at USD 70 billion (3.2% of GDP). For 2025, we have revised our current account deficit projection from USD 38.5 billion (-1.7% of GDP) to USD 59.0 billion (-2.5% of GDP). Our estimates suggest that an increase in primary income and services deficits will more than offset any improvement in the trade balance next year. We've kept our FDI projection unchanged at USD 74.0 billion (3.2% of GDP).

XP Forecasts for the Balance of Payments

	2024		2025	
	USD Bn	% of GDP	USD Bn	% of GDP
Current Account	**-52.0**	**-2.4**	**-59.0**	**-2.5**
Trade Balance	72.0	3.3	74.0	3.2
Exports	342.0	15.7	357.0	15.4
Imports	270.0	12.4	279.0	12.0
Services	-49.0	-2.3	-54.0	-2.3
Primary Income	-75.0	-3.4	-79.0	-3.4
FDI	**70.0**	**3.2**	**74.0**	**3.2**

Source: BCB, XP

Inflation – A momentary relief

Alexandre Maluf

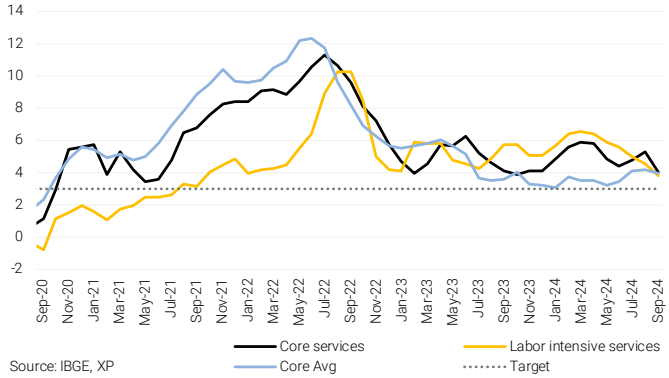
The September IPCA-15 increased by 0.13% compared to August, below the lowest forecast surveyed by Bloomberg. The main downside surprise came from the Services category, primarily due to contributions from volatile items, such as airfares and cinema prices, which are expected to reverse in October. However, labor-intensive services—a metric closely monitored by the Central Bank—industrial goods, and food also showed low variation. Part of the market began to wonder if inflationary risks were finally materializing.

We believe, however, that the relief in services tends to be temporary, given the still challenging fundamentals. We highlight that real wages continue on an upward trajectory in major employment surveys, while the unemployment rate reaches its lowest level in the recent series. Inflation expectations remain unanchored for the coming years. Moreover, the new minimum wage adjustment rule (INPC + GDP growth over the last two years) should keep domestic demand robust, in addition to promoting price adjustments through corporate costs. Therefore, our view is that the moderation of services inflation recorded in September does not relate to economic fundamentals. Our scenario anticipates an acceleration in such metrics in the last quarter and virtual stability in 2025, even after the Central Bank's interest rate hikes.

Inflation for industrialized goods is expected to remain controlled but above the levels of the last year. The core producer prices (IPAs), which exclude more volatile items, showed some moderation in September after considerable acceleration in recent months. We expected such movement, which aligns with our projection for industrial goods inflation: a return to positive territory, albeit moderate. Economic stimuli in China (see in the global section above) could be a bullish factor for commodity prices and, in turn, for cost inflation. For now, we maintain our projection for this category at approximately 3% for 2024 and 2025.

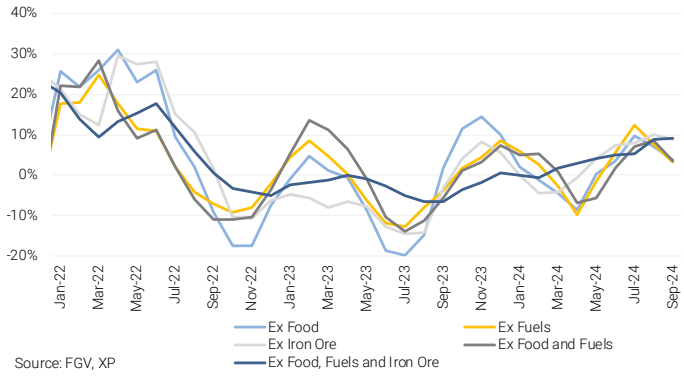
On the 'food at home' side, there are pressures from drought affecting fruits and other fresh items, as well as risks for dairy products and sugar production, in particular. Such pressures are expected to materialize as off the September IPCA and up into the last quarter. We also raised our projections for proteins for the last quarter (and especially for 2025), considering the recent increase in live cattle prices. Thus, we revised our projection for food at home in 2024 to 6.1%. For 2025, as we wrote in a recent report (link), we foresee record grain harvests

September relief should be a one-off, as fundamentals remain challenging
IPCA-15. 3MSAAR (%)



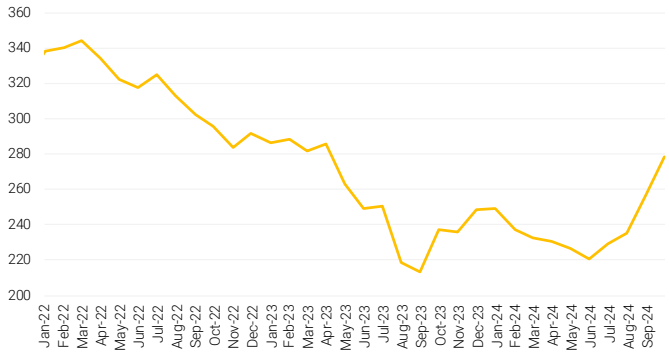
Source: IBGE, XP

PPIs keep indicating softer inflation for goods ahead, but stimuli in China pose a risk
PPI Cores. 3MSAAR.



Source: FGV, XP

Live cattle prices spiked and should boost protein inflation ahead
Live cattle (BRL)



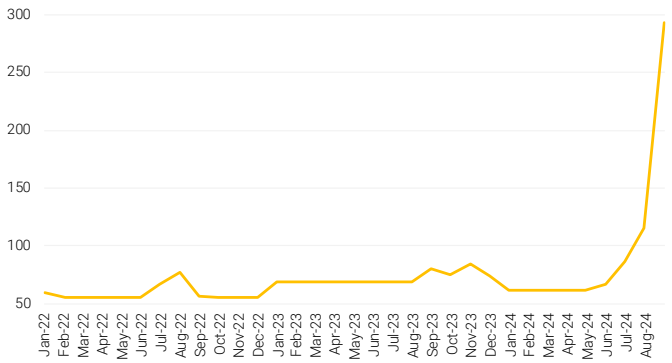
Source: Cepea/B3, XP

in Brazil, despite current weather conditions, and a moderation of adverse climatic effects, so this group is expected to increase by 5.2%.

Regarding administered prices, electricity is the main highlight. Due to the drought, we now project a red flag 1 for electricity tariffs in December, with a bullish impact of 0.1 pp on our 2024 projection. For 2025, we raised our projection from a green flag to a yellow flag. The net effect on the 2025 projection, therefore, is virtually null. Finally, we did not incorporate fuel price adjustments by Petrobras this year, in line with our view of balance in domestic prices and the company's recent communication, initially opposing the measure.

All things considered, our IPCA projection for 2024 rises from 4.4% to 4.6%, reflecting the adoption of the red flag 1. For 2025, after the tariff flag adjustment and higher pressure on protein prices, we project an IPCA of 4.1% (4.0% previously).

Energy prices skyrocketed. We forecast red flag 1 in December
Energy price - PLD (BRL/MWh)



Source: CCEE, XP

Monetary Policy – Tight spare capacity is a risk for the inflation outlook; Q4 inflation prints will be key

Caio Megale

Recent indicators suggest that spare capacity is getting tighter. The unemployment rate fell to its lowest level in the historical series (since 2012), almost half of pre-pandemic levels. Consequently, real earning growth remains robust. In the manufacturing sector, capacity utilization scaled back to 2010-2014 levels, finally erasing the slack created during the 2015 recession (see chart). Import volumes are picking up, which is another evidence that domestic demand is surpassing potential output.

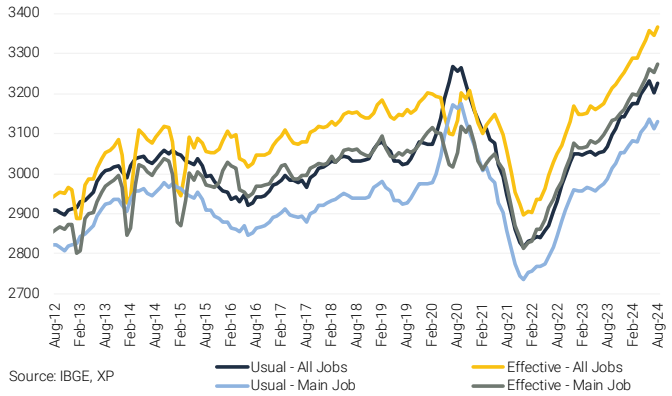
Narrowing spare capacity
Capacity Utilization - Manufacturing (%)

Source: FGV, XP

Historically, lower idleness hits inflation with a 3/9-month lag. It means that we should be seeing some acceleration in core/services inflation by now. However, recent inflation prints came out below expectations. It may suggest that the economy is not that heated, or simply that the (quite uncertain) lags are proving a bit longer this time around. The jury is still out.

In any event, the output gap is not the only reason to be concerned about future inflation. The expansionary bias of fiscal and quasi-fiscal policies makes stabilizing the debt-to-GDP ratio a challenging task. Moreover, the BRL remains around 10% weaker YTD, which should keep goods inflation on the rise in the short run. Last but not least, the lack of rainfall

Rising labor costs
Real labor earnings. Seasonally adjusted series (BRL)



Source: IBGE, XP

puts pressure on electricity prices (see inflation section above).

We keep our terminal Selic rate forecast at 12.00%... It means a real interest rate of around 8.00% (vs. our estimate of 5.00% neutral rate). Our estimates suggest that it would be enough to keep current IPCA within the target range through time and inflation expectations at around the 3.0% target.

...but the risk is tilted to the upside. 4Q inflation reading will be key to assessing whether the aforementioned heated economy will effectively push inflation up. If that happens, it is quite likely that the Copom will need to keep hiking rates during the first half of 2025. As a matter of fact, the Copom's IPCA forecast presented in the latest inflation report, taken at face value, indicates that the Selic rate needed to bring inflation to the target is 13.00-13.50%, other things equal.

A possible FX appreciation would be a positive risk. BRL fundamentals remain relatively solid (balance of payments, interest rate differential). China´s stimulus package, if it works, may boost commodity currencies. Thus, if the Brazilian currency appreciates some 5-10% in the coming months, that would reduce the Copom's IPCA forecasts, allowing for an easier monetary policy than otherwise.

Copom Model - Inflation projections for 2Q26 (reference scenario)

		Exchange Rate (BRL/USD)				
		5.00	5.20	5.40	5.60	5.80
Inflation Expectations - Central Bank's Focus Survey (%)	3.6	2.6	2.8	3.0	3.2	3.4
	3.8	2.7	2.9	3.1	3.3	3.5
	4.0	2.8	3.0	3.2	3.4	3.6
	4.2	3.0	3.2	3.4	3.6	3.8
	4.4	3.1	3.3	3.5	3.7	3.9

Source: BCB, IBGE, XP.

Note: Simulations based on the Copom Model

Copom Model - Selic rate required for inflation to converge to target (3%) in the relevant horizon (2Q2

		Exchange Rate (BRL/USD)				
		5.0	5.2	5.4	5.6	5.8
Inflation Expectations - Central Bank's Focus Survey (%)	3.6	10.3	11.0	11.8	12.5	13.3
	3.8	10.8	11.5	12.3	13.0	13.8
	4.0	11.3	12.0	12.8	13.5	14.3
	4.2	11.8	12.5	13.3	14.0	14.8
	4.4	12.3	13.0	13.8	14.5	15.3

Source: BCB, IBGE, XP

Note: Simulations based on the Copom Model

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	3.1	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	6.5	7.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	4.6	4.1
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	11.75	12.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.6	-0.9
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.3	-0.6
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.7
General government gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	78.5	82.4
Public sector net debt (% do PIB)	54.7	61.4	55.1	56.1	60.91	63.3	65.7
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	72.0	74.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	342.0	357.0
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	270.0	279.0
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-52.0	-59.0
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-2.4	-2.5
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	74.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.2	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,175	2,318
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,630	12,352

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

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